



In industries in which either the demand or supply (or both) is elastic, firms find it difficult to have high pricing power.

Several factors influence the price elasticity of demand and supply. These should be assessed to determine the industries with a high pricing power.

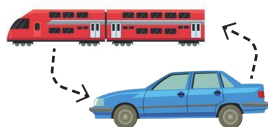
Factors That Affect Price Elasticity of Demand

Several close substitutes

If a product has several close substitutes, it leads to consumers switching between the substitutes in response to price changes. Thus, the product has a high price elasticity. **Such products find it difficult to have pricing power.**



Air travel has no close substitute for inter-continental travel.



Trains and cars are close substitutes for journeys around 200-400 km.

Cost of switching

Switching costs determine the ease with which consumers can switch between products. **The higher the switching costs, the more inelastic the demand.**

Switching costs include financial costs, psychological costs, hassle, and technical training.

For instance, a person trained in one accounting software may not switch to another as he would need to retrain himself in the new software. This acts as a switching cost.